

Medicare won't pay for your mother's nursing home. Her house will.

Draft v5 for Washington Post Opinions submission. By Scott Glasgow. Sources are hyperlinked.

Going broke in America is rarely loud. It happens in a hospital discharge office, when a social worker explains that [Medicare will cover your mother's rehab for a few weeks, never more than 100 days, and then stop](#). It pays nothing for the daily help with bathing, eating and dressing that most nursing home residents need.

More than half of Americans turning 65 in recent years [will need long-term care](#). A private nursing home room costs a median of [\\$129,575 a year](#). The median household headed by someone over 65 earns [\\$56,680](#). The arithmetic ends only one way.

So the family pays until the money is gone. [One in six residents who enter paying privately spends down to Medicaid](#) in about six months. Then they qualify as poor: in most states, Medicaid won't pay until they're down to [\\$2,000 in countable assets](#). Then, after death, the state comes for the house. Federal law [requires it to recover Medicaid's costs from the estate](#), and for most working families that means the house.

The rich skip all of that. With an elder-law attorney and five years' lead time, you can move your assets into an irrevocable trust, [wait out Medicaid's lookback period](#), and qualify with your wealth intact. The fee runs [around \\$10,000](#), less than a month in the facility. It's the best deal in the building.

Medicaid is the primary payer for [63% of nursing home residents](#), and [73% of nursing homes are for-profit](#). [Nearly three-quarters of homes pay rent and management fees to companies their own owners control](#), and a 2024 study found they [hide at least 63% of their profits](#) that way.

Real estate investment trusts hold stakes in [one in six nursing homes](#) and paid more than \$7 billion in dividends in 2024. The largest, CareTrust, ran a [67% profit margin](#) on its rents last year, and its homes average a half hour less nursing care per resident per day than the national average. Pearlene Darby, a retired teacher, died in 2020 at 81 of infections and bedsores at a CareTrust-owned home in Sacramento, according to her death certificate. That year, court records show, the home paid CareTrust more than \$1 million in rent while running a deficit. The home denied liability and settled. When private equity buys a nursing home, a study of 7 million Medicare patients found, [short-term mortality rises about 10% and billing rises 19%](#), most of it to taxpayers.

There is a public option. About [7% of nursing homes are government-owned and 20% are nonprofit](#). In New York, for-profit homes provide [20% fewer nursing hours per resident](#) than government and nonprofit homes, about half the registered-nurse hours, and roughly 20% more bedsores. The Medicaid dollar is the same. Where it goes is not.

The aide who turns your mother every two hours earns a median of [\\$20.13 an hour](#), and her job turns over at a median rate of [94% a year](#). She is not the problem. The people above her are. A landlord collecting rent from a home that's losing money, with Medicaid filling the gap, isn't running a business. He's running a toll booth at the end of someone's life, and the toll is paid twice: by the family, then the taxpayer.

In 2024 Washington set a minimum staffing standard for nursing homes. The industry's lobby [spent nearly \\$17 million fighting it](#). In December, [it was repealed](#).

None of this is inevitable. Germany and Japan run [mandatory public long-term care insurance](#) that everyone pays into and everyone can use. Congress passed an American version in 2010 and [repealed it in 2013](#) before it enrolled anyone. "Go broke first" is a choice.

It's a choice young people will pay for. The median first-time homebuyer is now [40 years old](#). The house that might have been a down payment is becoming a landlord's rent check, and the generation paying today's Medicaid bills will face the same \$2,000 rule with less saved.

Congress can act: restore the staffing floor, require any facility taking Medicaid to disclose every related-party payment in plain English, and put public long-term care insurance back on the table. A bill introduced in March would [bar Medicare payments to private-equity-owned homes](#).

I watched this happen to my grandmother. Her savings and everything she owned were drained paying for her care. I run a nonprofit that has taught more than 100,000 young people about money. I can teach them to save. I can't teach them to out-save a system built to take the house.

Scott Glasgow is the founder and executive director of FinMango, a nonprofit focused on financial health.